CUSTOMER CHURN ANALYSIS REPORT

KEY CHURN DRIVERS AND FINANCIAL IMPACT ON THE BANK

Prepared by:
Justice Paintsil
Data Analyst
Analytics Department

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1. EXECUTIVE SUMMARY

Our current churn rate stands at 20.4% over the past 10 tenures, indicating 1 in 5 customers leave the bank. This represents a significant risk to our deposit base. The analysis reveals a "High-Value Flight" pattern: we are disproportionately losing older, wealthier customers, particularly in the German market. These customers are predominantly female and hold 1 product. The bank must implement the following strategic recommendations to reduce churn to 15%, potentially retaining $15,805,282 balance at risk in the next tenure: Audit the German Market, Re-engage Affluent Customers, Optimize Product Mix, Enhance Wealth Management for Seniors, and offer improved Gender-Inclusive Services for women.

2. KEY KPI OVERVIEW

- Total customers analyzed: **10,000**
- Overall churn rate: **20.4%** (Churned customers: 2,037)
- Retention rate: **79.6%** (Retained customers: 7,963)
- Average balance of churned customers: **$91,108** (vs. $72,745 retained)
- Total financial impact (balance lost): **$185,588,095** (vs. $579,270,798 retained)
- Total balance at risk: **$15,805,282**

3. PRIMARY CHURN DRIVERS

A. Demographic Drivers: Age, Geography, and Gender

- Age is the single strongest predictor of churn. While customers under 40 are comparatively stable, the churn rate of 49.5% is alarming for the 45-60 age bracket. This suggests our current product suite loses its competitive edge as customers enter their peak wealth years.
- German customers exhibit a churn rate of 32.4%, nearly double that of France (16.2%) and Spain (16.7%). We have lost 32.6% of our total German deposit volume.
- Females churn at a higher rate (25.1%), which is 9% more than males (16.5%).

B. Behavioral Drivers: Product Saturation & Inactivity

- The optimum retention threshold is 2 products (7.6% churn). However, an alarming number of customers with 1 product (1,409) churned at a rate of 27.7%. Customers with 3 and 4 products churned at high rates of 82.7% and 100% respectively, although they represent a marginal 326 (3.3%) of the total. This indicates that the small number of high-product-count customers likely face service friction or fee dissatisfaction.
- Inactive customers churn at a rate significantly higher than active customers. Notably, an inactive customer in Germany has a 41% probability of exiting.

4. FINANCIAL IMPACT

Exiting customers have a higher average balance. This means they are more valuable to the balance sheet than those staying. Below is the financial impact of primary churn drivers:

Segment	Balance	Retained Bal.	Balance Lost	% Balance Lost	Impact Severity
German Customers	$300.40	$202.43	$97.97	32.6%	High
Age 45–60 Bracket	$152.51	$69.34	$83.18	54.5%	Critical
1-Product	$501.04	$371.37	$129.67	25.9%	Moderate-High
Female	$343.72	$242.31	$101.41	29.5%	Moderate-High
Inactive Customers	$374.02	$255.56	$118.47	31.7%	High

Amounts in millions

- The **loss of $206.6 million in annual estimated salary** capacity also limits our future cross-selling opportunities for lending and investment products.

5. STRATEGIC RECOMMENDATIONS

- **German Market Audit:** Conduct a deep-dive competitive analysis and service audit in Germany to identify if the high churn is due to localized competitor offers or poor regional service quality.
- **Affluent Customer Re-engagement:** Use predictive triggers to flag inactive customers with balance of $100K+ for immediate personal outreach and "active-status" incentives (e.g., fee waivers for 6 months, premium loan rates, free credit scores, and bonuses for customer referrals).
- **Optimization of Product Mix:** Pivot marketing efforts and incentives to move 1-Product customers to a 2-Product "Anchor" status. Investigate the 3+ product segment to remove service friction or fee structures that are driving customers away. Incentives include Discount Programs at retail stores, Exclusive Investments, and Tier-Based benefits that unlock with account growth (e.g., free travel insurance).
- **Wealth Management for Seniors:** Redesign our value proposition for the 45–60 demographic. This should include loyalty interest rates, dedicated financial advisors, and specialized retirement planning to counter the near 50% churn rate in this group.
- **Gender-Inclusive Service:** Tailor communication and product benefits to address the specific needs of female professionals and heads of households to recoup significant lost revenue.

6. CONCLUSION

By stabilizing the German market, re-engaging the 45–60-year-old high-balance segment, optimizing our product mix, and enhancing benefits and product appeal to women, the bank can protect its core deposits and stop the flight of high-value capital. Retention should be our primary engine for growth this year. Every 1% reduction in churn preserves approximately $9 Million in deposits. Therefore, we must stop the exit of our best customers today to stabilize the bank's future.